The Business of Artificial Intelligence

DES 530

IIIT Delhi

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Value Proposition

https://youtu.be/q8d9uuO1Cf4?feature=shared

Value Proposition

Value Prop Statement

- For (target customer segments)
- dissatisfied with (existing solution)
- due to (key unmet needs),
- (Venture name) offers a (product category)
- that provides (key benefits of your solution).

Value Proposition

- For (target customer segments)
  - **Who is your customer?**
  - everyone?
  - a segment?
  - how do you define that segment?

Startup Secret:

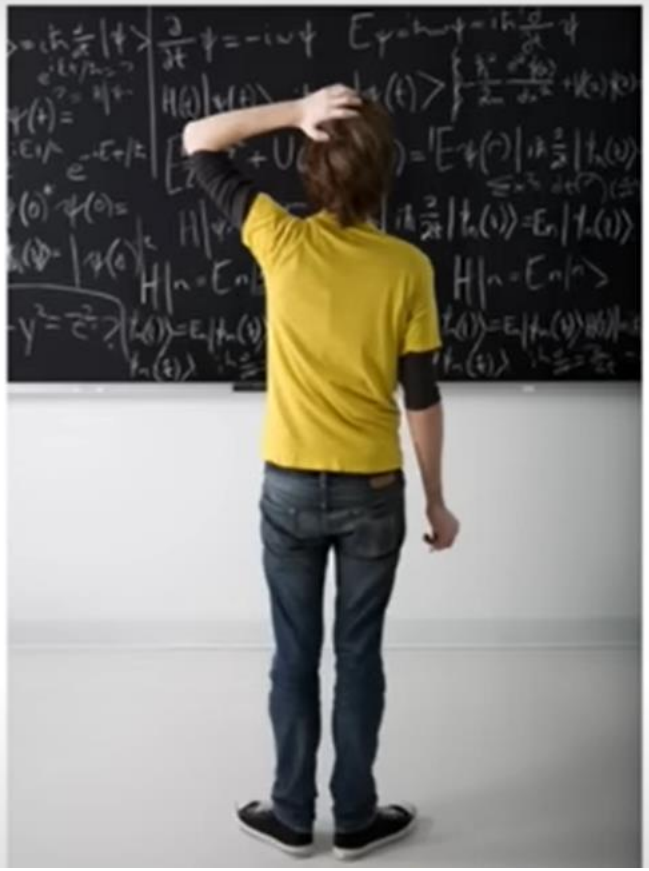
Look at everything through the eyes of your customer.

Value Proposition

Define the Problem

"A problem well stated is a problem half-solved."

- Charles Kettering

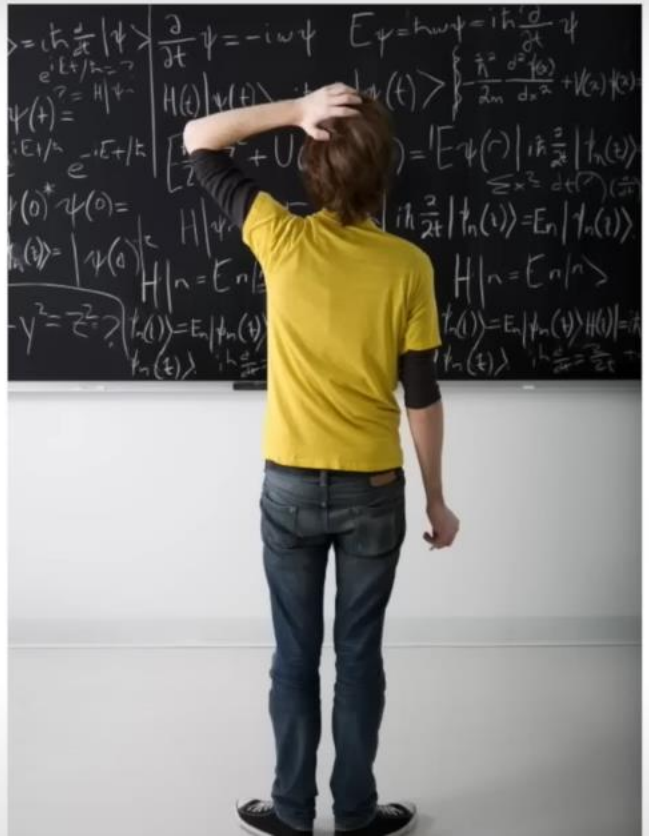


Value Proposition

Define the Problem

Problems worth solving are usually 4 U…

- Unworkable
- Unavoidable
- Urgent
- Underserved



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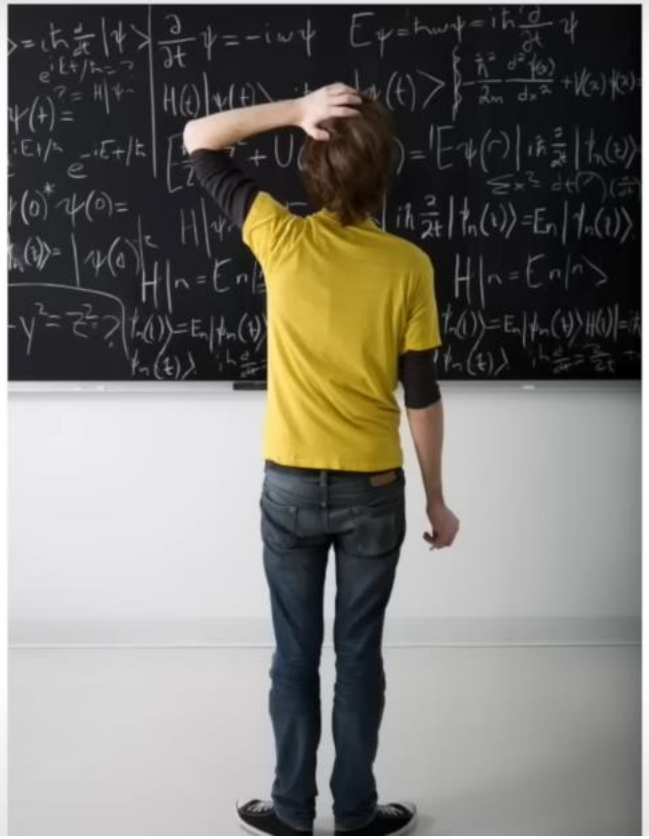


Value Proposition

B2C

Needs:

- Social
- Security
- Physical
- Economic
- Recognition
- Responsibility
- Achievement
- Growth

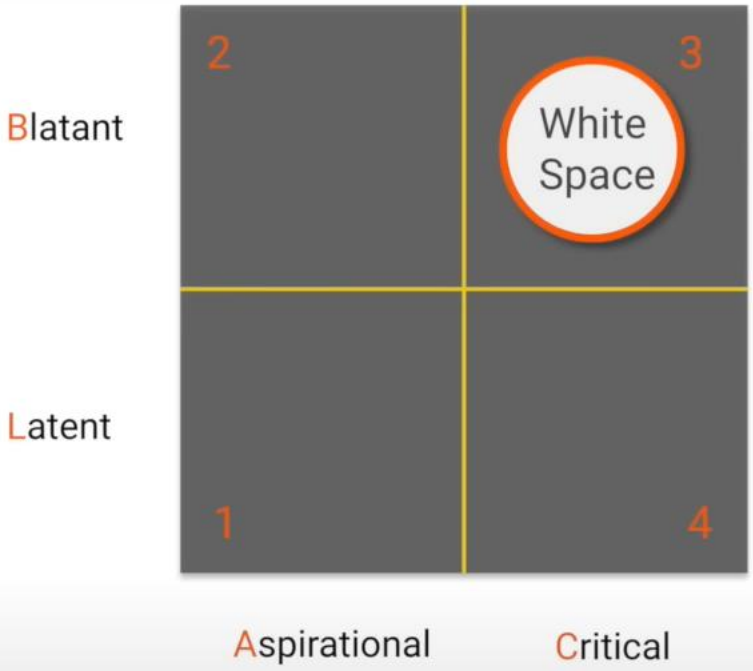
Value Proposition

Define the Market Need

Is it BLAC & white?

- Blatant
- Latent
- Aspirational
- Critical

- Is it addressing a “white space” in the market?
  - an open area of opportunity
  - which you can capture
  - uniquely well



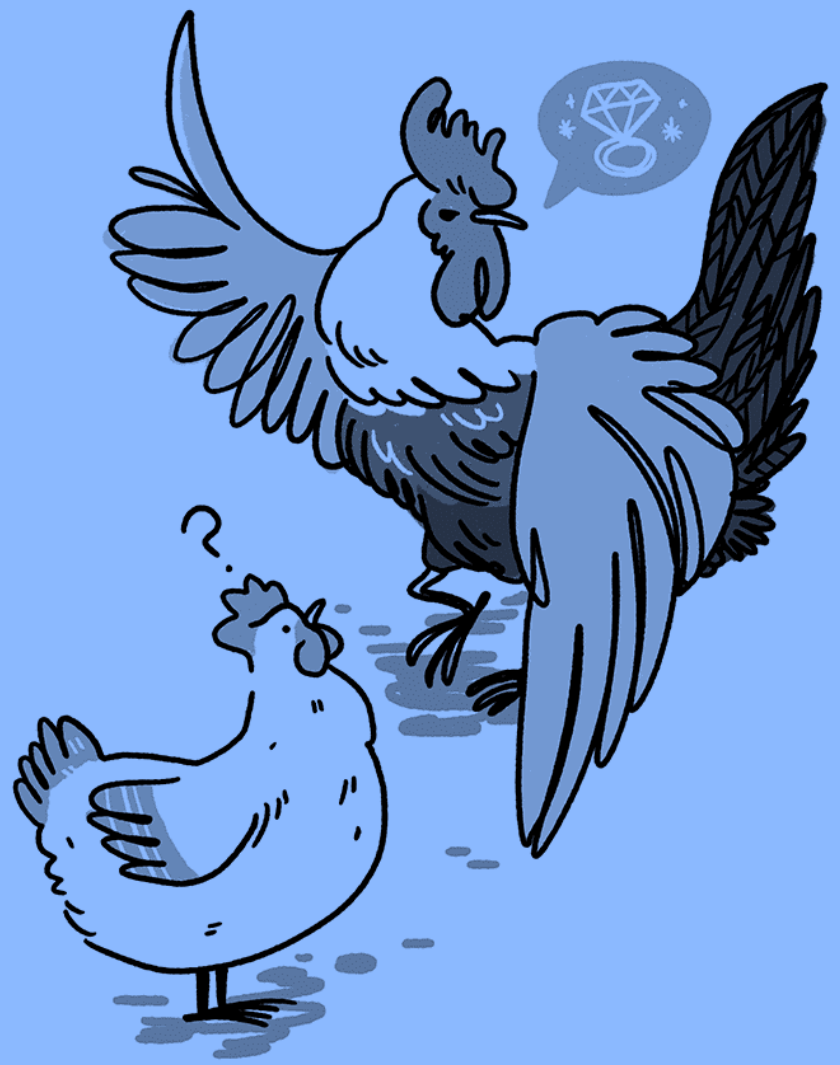
Value Proposition

Defensible: Moats

- **Defensibility from the outset**
  - Proprietary IP
  - Government license (e.g., wireless spectrum)
  - Favorable location (e.g., retail)
  - Favorable long-term contract
  - Minimum efficient scale facility (market can't support more)
  - Access to (proprietary) data (e.g. Google, Facebook, Bloomberg)

- **Defensibility with scale**
  - Network effects
  - Switching costs
  - Cost advantages due to scale – eg "economies of scale"
  - Brand loyalty

Value Proposition



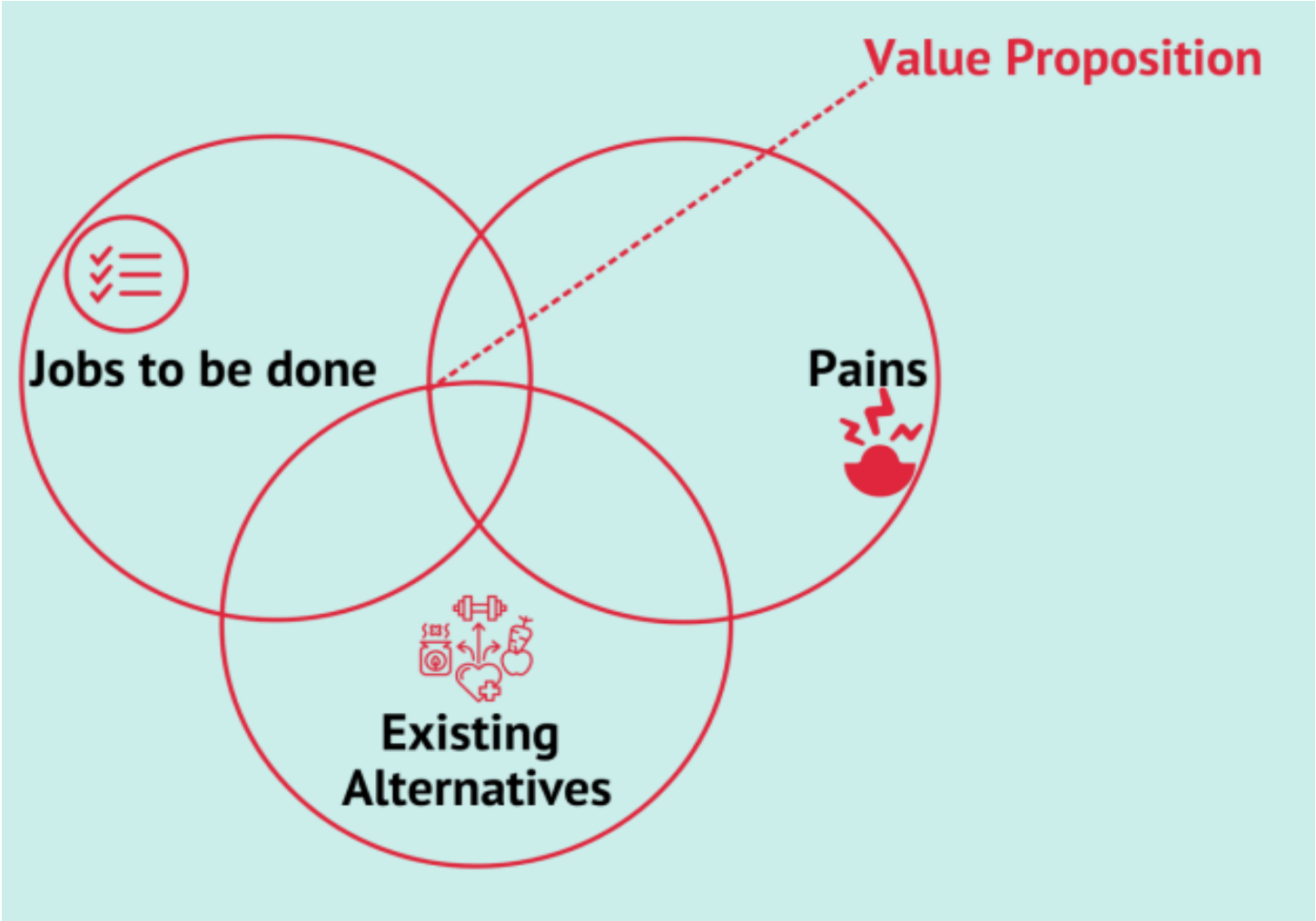
Value Proposition

['val-(,)yü ,prä-pə-'zi-shən]

The value a company promises to deliver to customers should they choose to buy their product.

Investopedia

Value Proposition



Value Proposition

- Swiggy's value proposition is to provide fast, convenient and reliable food delivery service to its customers.

- Apple's value proposition is to provide premium, high-quality, innovative and user-friendly technology products and services that enrich the lives of its customers.

- **Questions to answer**

1. What product or service do you offer?
2. Who is your target customer?
3. What problem does your product solve for your customer?
4. How does your product or service benefit your customer?
5. What differentiates you from competitors?

https://animoto.com/blog/business/determining-business-value-proposition